Theories of International Trade and Investment

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Learning objectives

- Explain **why FDI needs explaining** — the liability of foreignness and the why / where / how questions.
- Distinguish the main **economic theories** of FDI — Hymer’s monopolistic advantage, internalization, location theory, Vernon’s product life cycle and Dunning’s eclectic (OLI) paradigm.
- Contrast them with **behavioral / process theories** — Aharoni’s decision-process view and the Uppsala model — and with **resource-based approaches**.
- Apply the **OLI framework** to explain why a real firm expands abroad through foreign direct investment.
- Compare **non-FDI** entry via international collaborative ventures — equity joint ventures versus project-based alliances.
- Interpret global patterns in inward and outward FDI stock.

Opening activity: why build a factory abroad?

IN-CLASS OPENER · 10 MINUTES · THINK–PAIR–SHARE

Objective: surface your own intuitions about foreign expansion — then test them against the theories we cover today.

1. Pick a global firm you know — Apple, Toyota, Zara, Intel, Starbucks, Novartis.
2. It wants to serve a foreign market. It has three broad choices: **export** to the market, **license** a local partner, or **invest directly** (build/buy its own operation, i.e. FDI).
3. Which did your firm choose — and **why**? What did it own, or fear losing, that drove the decision?
4. Name one **advantage the firm carries with it** (a brand, patent or know-how) and one **advantage of the location** it chose.
5. Keep your example — we will map it onto the theories: **monopolistic advantage** → **internalization** → **the OLI paradigm**.

How firms gain and sustain international competitive advantage

- Since the MNE was traditionally the major player in international business, scholars have offered numerous explanations of what makes these firms pursue — and succeed in — internationalization.
- Because FDI has been MNEs’ main strategy in international expansion, theoretical explanations have tended to emphasize it.
- Today’s roadmap: first the **economic theories** of FDI (Hymer, internalization, location, Vernon, Dunning), then the **behavioral** and **resource-based** views — and finally **non-FDI** entry through international collaborative ventures.

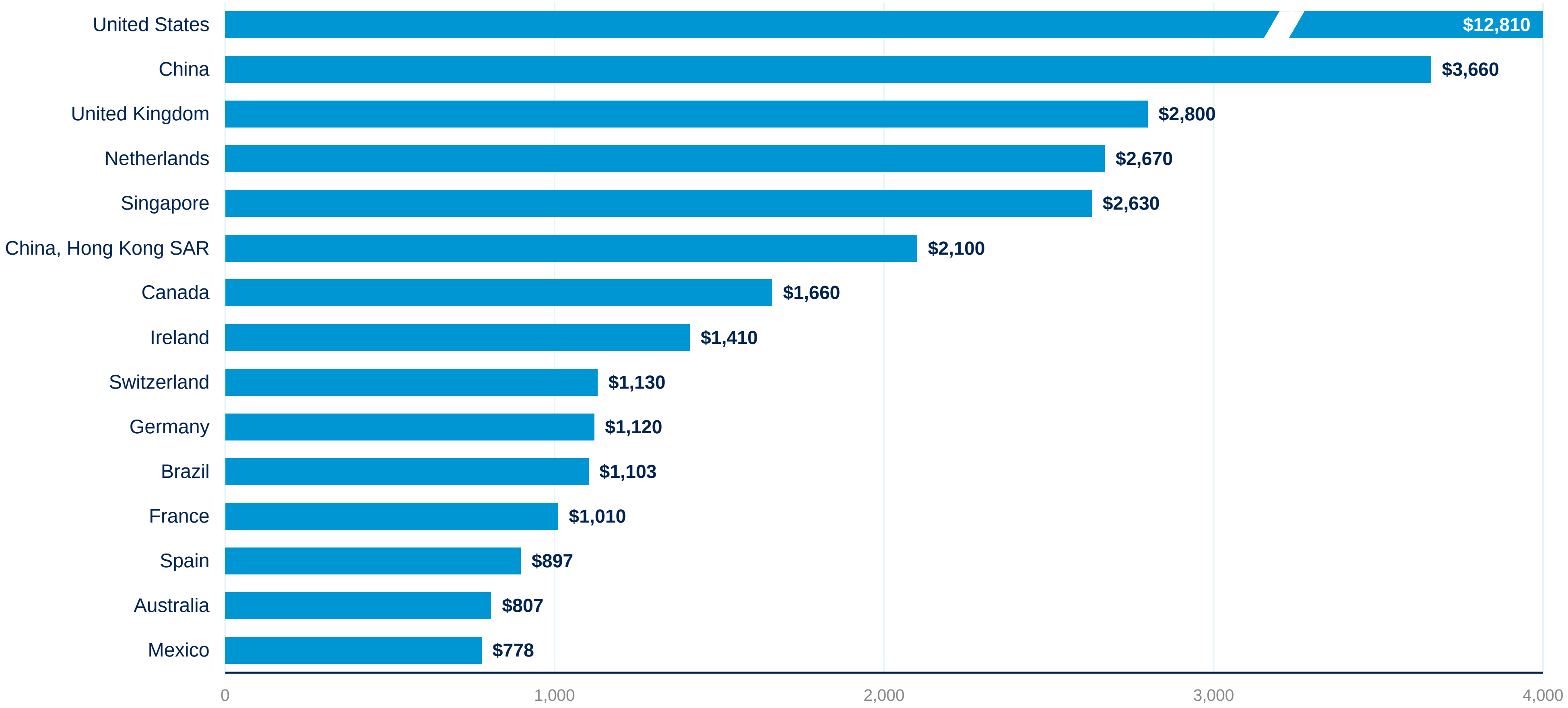
Stages in company internationalization

Firms typically deepen their international commitment gradually, moving from a purely domestic focus toward fully committed involvement abroad.

1	2	3	4	5
Domestic focus	Pre-export stage	Experimental involvement	Active involvement	Committed involvement

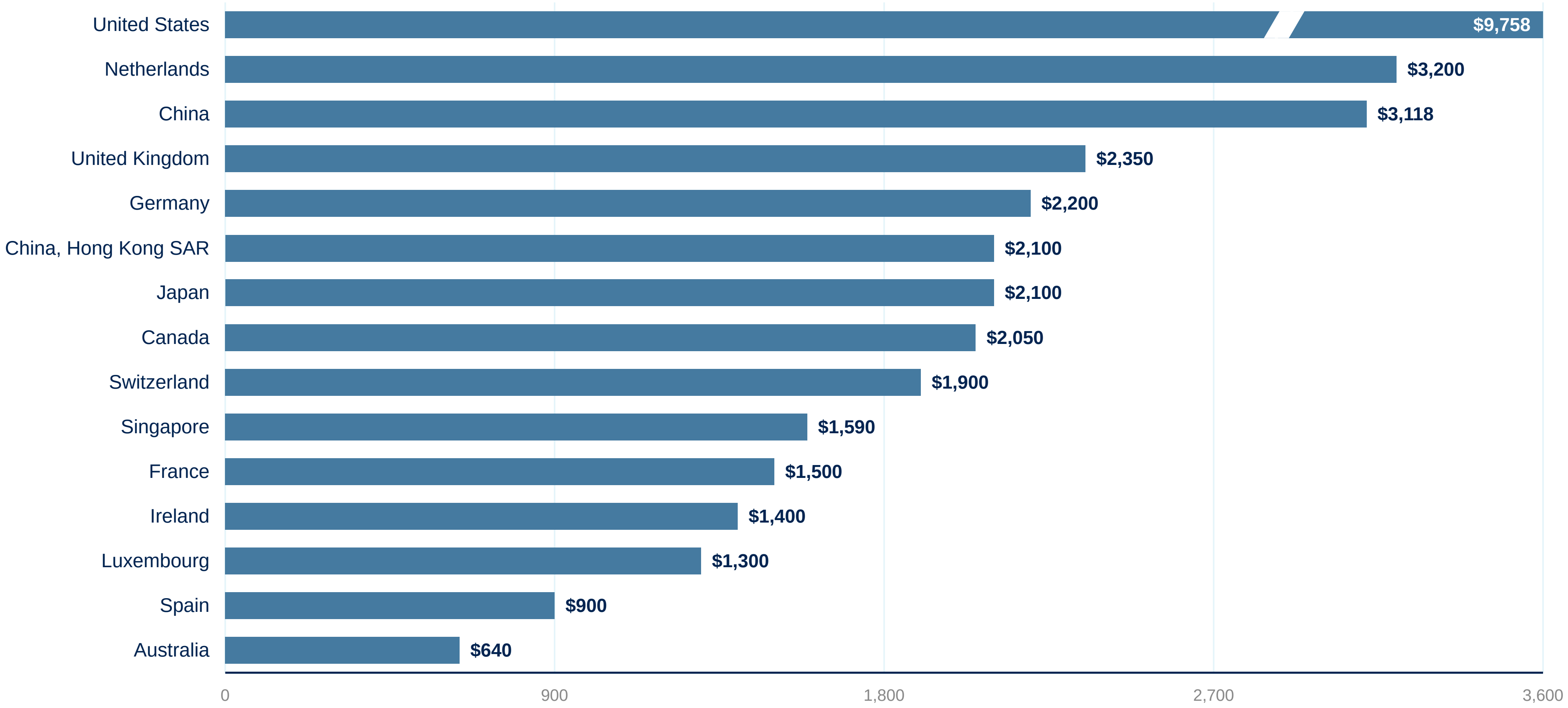
- **Domestic focus** – the firm serves only its home market.
- **Pre-export & experimental** – tentative first steps abroad, often via exporting to nearby or culturally similar markets.
- **Active & committed involvement** – systematic expansion, dedicated resources and, eventually, foreign direct investment.

Stock of inward FDI: leading destinations



Stock of inward FDI, 2023 (US$ billions). Source: UNCTAD, World Investment Report 2024. US shown on a book-value basis (~$12.8 tn; ~$14 tn at market value). World inward FDI stock reached a record ~$41 trillion in 2023 (IMF). The US bar is broken to fit the scale.

Stock of outward FDI: top sources



Stock of outward FDI, 2024 (US$ billions). Source: UNCTAD, World Investment Report 2025; US, Netherlands and China figures are firm, mid-table values are approximate. Global FDI flows fell for a second straight year in 2024 (≈ −11% underlying, excluding conduit flows). The US bar is broken to fit the scale.

Explaining foreign direct investment

- The puzzle (Hymer 1960): foreign entrants face a **liability of foreignness** — the extra costs of doing business abroad that local firms never bear (unfamiliar laws, language, tastes, networks; managing at distance).
- If operating abroad is *more* costly, foreign investors should lose to local rivals — yet MNEs thrive. So FDI needs a positive explanation; it cannot be the default.
- FDI is only one of three ways to serve a foreign market — a theory must explain why firms choose it over **exporting** or **licensing**.
- A complete theory of FDI must answer three questions: **WHY** go abroad (the advantage), **WHERE** to locate (the country), and **HOW** to enter (FDI vs. export vs. licence).
- **Example — Walmart in Germany:** exited in 2006 with a ~US$1 billion loss after misreading local shopping culture, labour relations and regulation that Aldi and Lidl navigated natively.

Economic and non-economic theories of FDI

Economic theories

Rational choice — profit and efficiency maximization; markets, costs and locations drive FDI

- Hymer (1960/1976): monopolistic advantage
- Buckley & Casson (1976): internalization
- Location theory — the “where” question
- Vernon (1966): product life cycle
- Dunning (1977): eclectic paradigm (OLI)

Answer: **why** FDI exists and **where** it goes

Behavioral / process theories

Bounded rationality — managerial perception and incremental learning under uncertainty

- Aharoni (1966): the FDI decision process
- Johanson & Vahlne (1977, 2009): Uppsala model
- Network approaches (Johanson & Mattsson 1988)

Answer: **how** internationalization unfolds over time

Resource-based theories

The firm as a bundle of unique resources; advantage from capabilities, not industry position

- Penrose (1959): theory of the growth of the firm
- Wernerfelt (1984) · Barney (1991): VRIN
- Dynamic capabilities (Teece et al. 1997)

Answer: **with what** the firm competes abroad

A didactic map, not a wall: Penrose (1959) underpins both the Uppsala model and the resource-based view, and Dunning (2000) recast the eclectic paradigm as an “envelope” absorbing behavioral and resource-based insights. Cf. Surdu, Greve & Benito (2021), Journal of International Business Studies.

Hymer’s theory of FDI: monopolistic advantage

- **Stephen Hymer** (MIT dissertation 1960, published 1976) broke with orthodoxy: FDI is **not** portfolio capital chasing higher interest rates — its defining feature is **control** of the foreign operation.
- To offset the costs of doing business abroad, the firm must own **firm-specific (monopolistic) advantages** local rivals lack: superior technology, brands, scale, management know-how, privileged access to finance or distribution.
- These advantages arise from **market imperfections** — under perfect competition there would be no FDI at all.
- FDI lets the firm **exploit its advantage while retaining control** — and, in Hymer’s industrial-organization view, reduce international competition. Kindleberger (1969): the advantage must be transferable abroad and outweigh the locals’ home-turf edge.
- *Limitation: explains why firms* ***can*** *invest abroad — not why they prefer FDI over licensing (→ internalization theory) or where they go (→ location theory).*

Novartis: patents as the monopolistic advantage

REAL-WORLD EXAMPLE · HYMER'S MONOPOLISTIC ADVANTAGE

- The Swiss pharma MNE sells its products in ~120 countries through its own subsidiaries — FY2024 net sales **US$50.3 bn** (+11%), built on patented blockbusters: Entresto $7.8 bn, Cosentyx $6.1 bn, Kesimpta $3.2 bn, Kisqali $3.0 bn.
- **The firm-specific advantage is the patent:** a legal monopoly that local rivals cannot copy — exactly Hymer's condition for profitable FDI despite the liability of foreignness.
- Novartis sharpened the strategy in October 2023 by **spinning off Sandoz**, its generics arm — becoming a pure-play *innovative-medicines* company that lives almost entirely off patent-protected advantages.
- **And the natural experiment:** Entresto's US patent protection fell in July 2025 — about ten generics flooded in, and Entresto sales dropped **−46%** within three quarters. Novartis expects a ~US$4 bn hit in 2026, its largest patent cliff ever.
- **Theory takeaway:** when the monopolistic advantage expires, the extraordinary returns vanish — the advantage, not the foreign presence, was the source of profit.

Sources: Novartis FY2024 results, 31 Jan 2025; Novartis Form 20-F (2024), SEC; Novartis media release on the Sandoz spin-off, 4 Oct 2023; Generics Bulletin/Citeline, July 2025 (US Entresto generics); Novartis Q1 2026 results, 28 Apr 2026.

Internalization theory (Buckley & Casson 1976)

- **Buckley & Casson (1976)**, building on Coase (1937): using markets has **transaction costs** — the MNE exists because it **internalizes markets for intermediate products across borders**.
- The critical failing market is the market for **knowledge**: a buyer cannot value know-how without seeing it, licensees may leak or misuse it, and enforceable contracts are hard to write.
- Decision rule: **internalize until the benefits equal the costs**. When licensing is too risky or costly, the firm performs the activity in-house abroad — that is FDI.
- Explains why R&D-, brand- and knowledge-intensive industries (pharma, tech, luxury) are dominated by MNEs rather than webs of licensing contracts.
- **In practice:** Intel keeps chip design and assembly-and-test in-house (e.g. Chengdu, China); Coca-Cola licenses bottling (codifiable, protectable) — but never the syrup formula.

Disney: the licence it regretted

REAL-WORLD EXAMPLE · INTERNALIZATION THEORY

- **Tokyo Disneyland (1983):** Disney entered Japan by **licensing** — the park is 100% owned and operated by Oriental Land Company. Disney invested only ~US$2.5 million and holds no equity; it earns ~10% of admissions and 5% of food-and-merchandise revenue.
- The park was an instant blockbuster (~10 million visitors in year one) — but Disney captured only the royalty stream while its partner kept the operating profits.
- **Lesson internalized — Disneyland Paris (1992):** Disney took the maximum-allowed **49% equity stake** at the 1989 IPO, on top of the same royalties plus management fees — switching from pure licensing to FDI.
- In **2017** Disney bought out the remaining shareholders (€2.00 per share) and delisted Euro Disney — it now owns essentially **100%** of Disneyland Paris.
- **Theory takeaway:** when the market solution (licensing) leaves too much value with the partner, the firm internalizes the foreign operation — precisely Buckley & Casson’s prediction.

Sources: The Walt Disney Company, Form 10-K (1994), SEC; Euro Disney S.C.A., Form 20-F, SEC; AMF/PR Newswire, final results of the Euro Disney tender offer, June 2017; Oriental Land Co. corporate history.

Location theory of FDI: the “where” question

- Ownership advantages explain **why**, internalization **how** — location theory answers **where**: activity goes to countries whose immobile, location-specific advantages best complement the firm’s own.
- Key location factors: natural resources · labour costs **and** skills · market size and growth · infrastructure · institutions (rule of law, IP protection, taxes) · trade barriers (**tariff-jumping** FDI) · agglomeration and clusters.
- **Resource-seeking:** secure inputs — oil, minerals, low-cost labour (Dunning’s four FDI motives, 1993).
- **Market-seeking:** access or protect demand; jump trade barriers — Japanese carmakers building US plants in the 1980s (Honda, Marysville 1982).
- **Efficiency-seeking:** rationalize production across borders to exploit factor-cost differences — VW and Audi in Slovakia and Hungary; the logic of global value chains.
- **Strategic-asset-seeking:** acquire technology, brands and talent abroad — Lenovo–IBM PC (2005), Geely–Volvo (2010).

BYD: jumping the EU tariff wall into Hungary

REAL-WORLD EXAMPLE · LOCATION THEORY · TARIFF-JUMPING AND MARKET-SEEKING FDI

- **The trigger:** from 31 October 2024 the EU levies countervailing duties on Chinese-built electric cars — **17% for BYD**, on top of the standard 10% import duty.
- **The response — produce inside the tariff wall:** BYD is building its first European passenger-car plant in **Szeged, Hungary** (announced December 2023; reported investment up to €4 bn): trial production began January 2026, series production is ramping toward ~150,000 and ultimately ~300,000 cars a year.
- BYD also placed its **European HQ and R&D centre in Budapest** (May 2025, ~2,000 mostly graduate jobs) — combining **tariff-jumping** with **market-seeking** proximity to European customers and institutions.
- **Location advantages at work:** EU market access, government incentives, central location, lower-cost skilled labour — Hungary beat rival locations for exactly the factors on the previous slide.
- **And a warning:** BYD's parallel US$1 bn plant in Turkey was put **on hold** in 2026 after Turkey withdrew its tax breaks — location advantages include **policy stability**, and they can vanish.

Sources: European Commission, Implementing Regulation (EU) 2024/2754 (Oct 2024); BYD press release, 22 Dec 2023; electrive, 2 Feb 2026 (Szeged trial production); Fortune, 16 May 2025 (Budapest HQ); Nikkei Asia, June 2026 (Turkey project on hold).

Vernon’s product life cycle theory (1966)

Raymond Vernon, “International Investment and International Trade in the Product Cycle”, QJE 1966 — the optimal production location shifts as the product matures.

1 · New product

Innovated and produced in the high-income home country — close contact between R&D, production and customers; foreign demand served by **exports**.

2 · Maturing product

Design standardizes and demand grows in other advanced economies; cost competition begins → firm **invests in production abroad** to defend those markets.

3 · Standardized product

Competition is purely on price → production migrates to **low-cost developing countries**; the innovating country becomes a net **importer** of its own invention.

- *Limitations: US-centric and dated — innovation is now global, product cycles have collapsed (smartphones launch worldwide at once), and born-global firms skip the sequence entirely (Vernon conceded much of this himself in 1979).*

The television industry: a complete product cycle

REAL-WORLD EXAMPLE · VERNON'S PRODUCT LIFE CYCLE

- **Stage 1 — the US innovates:** RCA launched commercial television at the 1939 New York World's Fair; in the 1950s–60s dozens of American producers (RCA, Zenith, Magnavox, Motorola, GE…) dominated world output.
- **Stage 2 — production migrates to other advanced economies:** Sony's Trinitron tube (1968) symbolized Japan's take-over; through the 1970s–80s Sony, Matsushita and Toshiba out-innovated and out-produced the US industry.
- **Stage 3 — standardization and low-cost locations:** leadership passed to South Korea (Samsung — world #1 TV brand for 20 consecutive years, ~29% of global revenue) and then China: in Q4 2024 Hisense + TCL out-shipped Samsung + LG for the first time.
- **The cycle completes:** the last US-owned maker, Zenith, was sold to Korea's LG (majority 1995, fully in 1999). Today virtually no TVs are assembled in the US — even Vizio, a US brand acquired by Walmart in 2024, outsources all production to Mexico and Asia.
- **Theory takeaway:** the innovating country ends up a net **importer** of its own invention — exactly Vernon's stage-3 prediction.

Sources: Early Television Museum (1939 World's Fair); IEEE Spectrum (Sony Trinitron); Samsung Newsroom/Omdia, 2026 (20 years as global TV leader); Yicai, 2025 (Hisense/TCL shipments); Walmart, 3 Dec 2024 (Vizio acquisition).

Dunning’s eclectic paradigm (OLI)

- **John Dunning** (1976 Nobel Symposium; published 1977, refined 1980/1988/2000) deliberately **synthesizes** the earlier theories: O ← Hymer, L ← location theory, I ← Buckley & Casson. Three conditions determine entry via **FDI**:
- **Ownership-specific advantages.** Knowledge, skills, capabilities, relationships or physical assets that the firm owns and which are the basis of its competitive advantages.
- **Location-specific advantages.** Advantages that exist in the target country — such as natural resources, low-cost labour or skilled labour — similar to comparative advantages.
- **Internalization advantages.** Control derived from internalizing foreign-based manufacturing, distribution or other value-chain activities.
- *Criticism: a “shopping list” of variables with limited predictive power (acknowledged by Dunning himself in 1988) — and static: it says little about process and timing (→ Uppsala model).*

O only	O + I	O + L + I
→ License or contract	→ Export	→ FDI

Sony in China: an OLI walk-through

REAL-WORLD EXAMPLE · DUNNING'S ECLECTIC PARADIGM (OLI)

- **Ownership (O):** Sony possesses a huge stock of knowledge, patents and brands in consumer electronics — PlayStation, Bravia TVs, image sensors, Alpha cameras.
- **Location (L):** China offers skilled labour, a deep electronics supplier ecosystem and a large market — China still accounts for roughly a third of Sony's digital-product shipment volume, with ~120 supplier companies in its network.
- **Internalization (I):** to protect quality and proprietary technology, Sony favours controlled, equity-based operations over pure licensing.
- → All three conditions hold — so the OLI decision rule predicts entry via **FDI**, which is how Sony entered China.
- *Nuance: Sony's footprint today mixes its own operations with contract manufacturing spread across Asia — China is a key node, not the only one. The O-L-I logic still holds for each controlled activity.*

Sources: Sony Group supply-chain disclosures (2024); China Daily, Nov 2023 (Sony expanding its China presence); Dunning & Lundan (2008), Multinational Enterprises and the Global Economy.

Behavioral theory of FDI (Aharoni 1966)

- **Yair Aharoni** (1966), *The Foreign Investment Decision Process* — a field study of 38 US firms: FDI decisions are **not** rational profit-maximizing calculus but choices made under uncertainty by managers with **bounded rationality** (Simon; Cyert & March).
- The process needs an **initiating force**: an outside proposal (a foreign government, distributor or client), fear of losing a market, a **bandwagon effect** (following competitors) — or an internal champion.
- **Perceived** — not objective — risk dominates early screening; many profitable projects are never even considered.
- **Commitment accumulates**: the more time and reputation managers invest in investigating a project, the harder it becomes to say no — the process itself generates commitment.
- *Limitation: describes the process but yields few testable predictions — yet it is the direct foundation of the Uppsala model.*

Toyota’s suppliers: follow-the-customer FDI

REAL-WORLD EXAMPLE · AHARONI’S BEHAVIORAL THEORY

- When Toyota started producing in North America — NUMMI, California (1984) and Georgetown, Kentucky (first Camry, May 1988) — its Japanese **keiretsu suppliers followed en masse**.
- By end-1990 there were **~320 Japanese parts and materials plants** in North America, clustered in Michigan, Indiana, Ohio, Kentucky and Tennessee. Denso broke ground in Battle Creek, Michigan in 1985 — timed to serve the arriving assemblers.
- **The initiating force was not market analysis:** research shows entry was triggered by pre-existing buyer–supplier ties and by other suppliers’ moves — the customer relationship and the bandwagon, exactly Aharoni’s “initiating forces”.
- The motives map one-to-one: **outside proposal** (the customer asks), **fear of losing the account** (if a rival supplier goes and you don’t), and **follow-the-leader** imitation.
- **Theory takeaway:** FDI here was a relational, defensive decision under uncertainty — not an optimizing location calculus.

Sources: Martin, Mitchell & Swaminathan (1995), Strategic Management Journal; Martin, Swaminathan & Mitchell (1998), Administrative Science Quarterly 43; Washington Post, 8 May 1988; Denso corporate history (Battle Creek).

The Uppsala model of internationalization

Johanson & Vahlne (1977, JIBS), building on four Swedish cases (Sandvik, Atlas Copco, Facit, Volvo; Johanson & Wiedersheim-Paul 1975) — internationalization as incremental learning: experiential knowledge → commitment → more knowledge → more commitment.

1 **No regular export**	›	2 **Export via independent agents**	›	3 **Sales subsidiary**	›	4 **Production subsidiary**

- **Establishment chain:** firms deepen commitment step by step — and enter **psychically close** markets first (similar language, culture, institutions), then progressively more distant ones.
- **2009 revision:** markets are networks of relationships — the key barrier is no longer the liability of foreignness but the **liability of outsidership** (not being an insider in the relevant business network).
- *Criticism: many firms leapfrog the stages, and* ***born-global*** *firms (Oviatt & McDougall 1994; Knight & Cavusgil 2004) internationalize rapidly from inception.*

IKEA: sixty years of ring-by-ring expansion

REAL-WORLD EXAMPLE · THE UPPSALA MODEL

- Founded 1943 in Älmhult, Sweden; first store abroad in **psychically closest** Norway (Nesbru, 1963), then Denmark (1969) — Scandinavia first.
- Next ring outward: **Switzerland 1973** (first store outside Scandinavia) and **Germany 1974** (Munich) — culturally and linguistically proximate Europe.
- Then Australia 1975, Canada 1976, Austria 1977, the Netherlands 1978 — and the **US only in 1985**, twenty-two years after the first foreign step.
- The highest-psychic-distance markets came last, after long preparation and heavy adaptation: **China 1998** (city-centre formats, localized offer) and **India 2018** (Hyderabad, ~5 years after approval).
- Today: **~504 stores in 63 markets** (FY2024) — six decades of exactly the incremental, ring-by-ring expansion the Uppsala model predicts.

Sources: IKEA Museum (first store abroad, 1963); Inter IKEA Group, Financial Summary FY24; US–China Business Council (IKEA in China); IKEA corporate expansion timeline.

Resource-based approaches to internationalization

- **Penrose** (1959): the firm is an administrative organization and a **bundle of productive resources**; growth — including foreign growth — is driven by unused resources and limited by how fast management can absorb expansion.
- **Wernerfelt** (1984) coined the “resource-based view”; **Barney** (1991): sustained advantage comes from resources that are **V**aluable, **R**are, **I**nimitable and **N**on-substitutable (VRIN, later VRIO).
- Applied to FDI: internationalization **exploits** the firm’s unique capabilities abroad — and FDI is chosen when those capabilities are **tacit** and embedded in routines: they transfer well inside the firm but poorly through markets (Kogut & Zander 1993).
- Internationalization also **augments** resources: strategic-asset-seeking FDI acquires new capabilities abroad — connecting the RBV to Dunning’s fourth motive; **dynamic capabilities** (Teece et al. 1997) explain how firms reconfigure resources across borders.
- *Criticism: risks tautology (valuable resources defined by the success they explain), and VRIN advantages may not travel — some advantages are location-bound.*

Lenovo–IBM: buying the resources you lack

REAL-WORLD EXAMPLE · THE RESOURCE-BASED VIEW

- In May 2005 Lenovo — then world **#9** in PCs with ~2.3% share — bought IBM’s PC division for **US$1.75 bn** ($650 m cash + $600 m in shares + ~$500 m assumed liabilities).
- What it really bought were **VRIN resources** it could not build at speed: the **ThinkPad** brand, IBM’s PC R&D (including the famous Yamato lab in Japan), a global sales force in 160 countries, and 5-year rights to the IBM logo.
- The deal made Lenovo instantly world #3; by **2013 it was #1 in PC shipments** — and it still leads, with ~25% global share (2025, IDC).
- The pattern repeated in 2014: IBM’s x86 server business (~US$2.1 bn) and Motorola Mobility (US$2.91 bn) — strategic-asset-seeking FDI as a systematic growth strategy.
- **Theory takeaway:** an emerging-market firm can leapfrog decades of capability-building by **acquiring** resource bundles abroad — the RBV read on Dunning’s fourth motive.

Sources: Lenovo press releases (3 May 2005 completion; ten-year retrospective); CNBC, 10 Jul 2013 (Lenovo becomes #1); IDC 2025 shipment data; TechCrunch, 30 Oct 2014 (Motorola closing).

The theories side by side

Theory	Landmark work	Example	The story in one line	What it explains
Hymer: monopolistic advantage	Hymer 1960/1976	**Novartis**	Patents = firm-specific monopoly power; when Entresto's patent fell (2025), the returns fell with it	Why FDI is possible at all
Internalization theory	Buckley & Casson 1976	**Disney**	Licensed Tokyo (1983) and captured only royalties; took equity in Paris (1992), full ownership 2017	Why FDI beats licensing
Location theory	Dunning 1993	**BYD**	Szeged plant + Budapest HQ jump the EU's 17%+10% tariffs and sit next to the customers	Where FDI goes
Product life cycle	Vernon 1966	**Televisions**	US innovates (1939) → Japan → Korea → China; the US now imports its own invention	When and where production shifts
Eclectic paradigm (OLI)	Dunning 1977	**Sony in China**	O (patents, brands) + L (skilled labour, suppliers) + I (control) all hold → FDI	Why, where and how — combined
Behavioral theory	Aharoni 1966	**Toyota's suppliers**	~320 Japanese supplier plants followed their keiretsu customer to North America by 1990	What actually triggers the decision
Uppsala model	Johanson & Vahlne 1977	**IKEA**	Norway 1963 → Switzerland 1973 → US 1985 → China 1998 → India 2018: ring by ring	How commitment deepens over time
Resource-based view	Barney 1991 (Penrose 1959)	**Lenovo**	Bought IBM's PC unit (2005) to acquire the ThinkPad brand, R&D and global reach — #1 since 2013	With what firms compete abroad

Apply it: run an OLI analysis

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: use Dunning's eclectic paradigm to judge whether a firm should enter a foreign market via FDI — and to defend the decision with evidence.

1. Take the firm from the opening activity (or choose a new one) and a specific target country.
2. **Ownership (O):** what firm-specific advantages does it own — patents, brand, technology, scale — that it can exploit abroad?
3. **Location (L):** what does the target country offer — market size, low-cost or skilled labour, resources, proximity to customers?
4. **Internalization (I):** is control important enough (to protect quality or know-how) to justify owning the operation rather than licensing?
5. Verdict: only if **all three** hold does OLI predict entry by FDI. If one is missing, propose an alternative — exporting, licensing or a collaborative venture — and say why.
6. Cross-check with the process theories: would the **Uppsala model** predict this market as an early or late step — and what **initiating force** (Aharoni) might actually trigger the decision?

Non-FDI-based explanations: international collaborative ventures

- A form of cooperation between two or more firms: partners **pool resources and capabilities** to create synergies and share the risk of joint efforts.
- Starting in the 1980s, firms increasingly used collaborative ventures as a way to venture abroad.
- Collaboration provides access to foreign partners' know-how, capital, distribution channels or marketing assets — and helps overcome government-imposed obstacles.
- Unlike the FDI-based theories, collaborative ventures allow firms to internationalize without full ownership of foreign operations.

Two types of international collaborative ventures

- **Equity-based joint ventures** result in the formation of a new legal entity. Unlike wholly owned FDI, the firm collaborates with local partner(s) to reduce risk and the commitment of capital.
- **Project-based alliances** require no equity commitment — only a willingness to cooperate in R&D, manufacturing, design or another value-adding activity.
- Because project-based alliances have a narrowly defined scope and timeline, they give the firm greater flexibility than equity-based ventures.

Case: equity JV vs. project-based alliance

Tata Starbucks

Equity-based joint venture · new legal entity

- **Partners:** Starbucks (USA) & Tata Consumer Products (India) — a 50:50 **equity joint venture**, Tata Starbucks Pvt Ltd, a new legal entity (2012).
- **Each brings:** Starbucks the global brand, store format and coffee know-how; Tata local market access, real estate, coffee sourcing and regulatory navigation.
- **Why:** enter a tea-dominant, tightly regulated high-growth market by sharing risk and capital.
- **Outcome:** ~500 stores across India and its first profitable year (2026); target 1,000 stores by 2028.

BMW × Toyota

Project-based alliance · no equity

- **Partners:** BMW (Germany) & Toyota (Japan) — a **project-based, non-equity alliance**; no new company is formed.
- **Each brings:** Toyota its fuel-cell leadership, BMW its vehicle integration and engineering — pooled for joint R&D.
- **Why:** share the cost and risk of an uncertain technology (hydrogen fuel cells) without a capital-heavy tie-up.
- **Outcome:** deepened in 2024 to co-develop a 3rd-generation fuel-cell system; BMW’s first series fuel-cell car is due in 2028.

Discussion: choosing how to collaborate

WHOLE-CLASS DISCUSSION · 10 MINUTES

- Map each venture onto the theory: which is equity-based and forms a new entity, and which is a non-equity, time-bound alliance?
- For each pair of partners, what firm-specific advantage does each side contribute — and what would each risk losing by going it alone?
- Why might these firms choose a collaborative venture instead of full FDI (a wholly-owned operation)? Use the OLI logic in your answer.
- When does a project-based alliance beat an equity joint venture — and when is the reverse true?
- Recall Afeela (Sony–Honda), a 50:50 EV venture scrapped in 2026 before shipping a car: what does its failure tell us about the risks of collaborative ventures?

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